Smart Cents

WEEKLY

Hey there!

Welcome back to Smart Cents Weekly. If you are new here, thank you for joining us. If you have been with us since the early issues, thank you for waiting.

A quick note before we get into it. We know the newsletter went quiet for a while. That was on purpose toward the end. We have been rebuilding our printing press and upgrading how Smart Cents Weekly gets produced and delivered, which means cleaner layouts, faster turnaround, and more consistent issues going forward. This edition is the first one out of the new setup. Expect us back on a regular schedule from here.

Let's unwrap what happened over the past two weeks, July 13 through July 24, 2026 👇

🧠 Big Picture: Inflation Cools, But AI Spending Panic and $100 Oil Take Over

The past two weeks flipped the market's usual script. Good inflation news arrived and stocks fell anyway.

On July 14, the June Consumer Price Index came in far cooler than anyone expected. Headline prices fell 0.4% for the month, the largest single month decline since April 2020, pulling the annual rate down to 3.5% from 4.2% in May. Core inflation, which strips out food and energy, was flat on the month and 2.6% over the year, below the 2.8% to 2.9% economists had penciled in. Energy did most of the work, falling 5.7% on the month with gasoline down 9.7%.

That should have been a green light. Instead, investors spent both weeks selling technology. The week ending July 17 saw the S&P 500 drop 1.6%, the Nasdaq lose 2.9%, and the semiconductor index fall nearly 10%, leaving chips down roughly 18% for the month. The following week was more of the same, with the Nasdaq off about 2.1%, the S&P 500 down 0.6%, and the Dow slipping 0.4%. Friday July 24 closed with the S&P 500 at 7,411.98, the Nasdaq at 24,975.82, and the Dow at 51,947.25.

Underneath the index moves, money kept rotating. Energy, financials, consumer staples, REITs, and healthcare absorbed the cash leaving technology, which is why the broad market held within a few percent of its record while the AI complex took real damage.

Oil was the other story. Crude jumped roughly 10% in each of the last two weeks, and Brent crossed $100 a barrel on July 23 for the first time since May after Houthi militants claimed strikes on two Saudi tankers in the Red Sea. Brent is up about 29% over the past month. The Strait of Hormuz remains a chokepoint, and the International Energy Agency warned that global energy security is at risk if it does not reopen soon.

Bitcoin traded around $65,000, roughly flat over the stretch and still far below its October 2025 peak near $126,000. Gold held near $4,057. Treasury yields drifted with the oil headlines rather than the inflation data.

So what should we learn? Cooling inflation matters less right now than two other things, which are how much energy prices can undo that progress and whether the largest companies in the world can justify what they are spending on artificial intelligence. Good macro news does not automatically buy you a rally when the market has decided to interrogate the leaders.

💰 Mega Deals: Nvidia Becomes the Balance Sheet Behind the AI Buildout

The headline transaction of the period is not a merger. It is a guarantee.

Nvidia is reportedly in talks to provide roughly $250 billion in financing backstops for OpenAI, which would let OpenAI lease a 10 gigawatt data center campus that SoftBank's energy arm is developing in Pike County, Ohio. The full project, chips included, could exceed $500 billion, which would make it the largest data center ever announced. The first phase is expected around 2028 with roughly 800 megawatts. OpenAI is private and unprofitable with no investment grade credit rating, so Nvidia's credit is what makes the debt work.

Nvidia separately announced a memory supply agreement with SK Hynix valued above $500 billion, including new data center construction expected to come online in 2027. Commerce Secretary Howard Lutnick is involved in allocating power at the Ohio site, and Anthropic, Microsoft, and Google all reportedly spoke with officials about it.

What it means: the AI buildout has outgrown ordinary corporate cash flow and is now being financed through vendor guarantees, prepaid supply agreements, and structured debt. That accelerates construction. It also links the chipmaker, the model developer, the memory supplier, and the landlord to the same demand assumption. If that assumption slips, it slips for all of them at once. This circular funding structure is exactly what has analysts nervous.

🚗 Tesla: Record Revenue, Broken Profits, and the Worst Week in Years

Tesla reported second quarter results on July 22 and the reaction was brutal. Revenue hit a record $28.24 billion, up 26% year over year, comfortably beating the roughly $25.5 billion Wall Street expected. Trailing twelve month revenue passed $100 billion for the first time.

Everything below the revenue line disappointed. Operating income fell 57% to $398 million, compressing operating margin to just 1.4%. Adjusted earnings came in at $0.33 per share against roughly $0.49 to $0.53 expected. Capital expenditures surged 142% to $5.79 billion and free cash flow swung to negative $1.1 billion. Management confirmed 2026 capex will top $25 billion, said spending grows for another two or three years, and disclosed debt facilities providing up to $30 billion of borrowing capacity.

The stock fell as much as 15% on Thursday, its worst intraday drop in more than a year, and finished the week down roughly 19%.

The buzz? Musk called this Tesla's largest investment period, and on the call he was asked directly about a Tesla and SpaceX merger. He pointed to growing overlap, especially around the Terafab project, without committing to anything. The autonomy story is real and expanding. The question investors asked this quarter is who funds it and for how long.

📉 Tech Reality Check: The Market Started Demanding Receipts

This is the theme that defined both weeks. Beating estimates stopped being enough.

Alphabet reported on July 22 with revenue of $119.8 billion, up 24%, and Google Cloud revenue up 82% to $24.8 billion, crushing the 63% growth analysts modeled. Cloud operating income more than tripled to $8.8 billion. The stock fell about 7% anyway. Quarterly capital spending doubled to $44.9 billion, free cash flow came in at negative $5.9 billion, the first negative quarter since the company went public in 2004, and full year capex guidance was raised again to a range of $195 billion to $205 billion, up from $180 billion to $190 billion, with 2027 expected to be significantly higher. The reported earnings beat was also flattered by a large unrealized gain on equity holdings rather than by operations.

Intel reported on July 23 and posted its fastest revenue growth in roughly fifteen years, up 25% to $16.1 billion, with data center revenue up 59% to $6.3 billion and adjusted earnings of $0.42 against a $0.21 estimate. Shares jumped as much as 13% after hours, then fell nearly 8% the next day once investors read the capex line, which moved from about $18 billion to more than $20 billion for 2026 with a meaningful increase planned for 2027.

Red flags: the pattern is consistent and it is not about earnings quality. Companies that spend are being punished and companies that sell the equipment are being rewarded, which is a market openly questioning return on investment rather than demand. Roughly a quarter of the S&P 500 had reported by the end of the period with about 80% beating on revenue and 85% beating on earnings, so the fundamentals are not the problem. Expectations are.

🏛️ Macro Matters: A New Fed Chair and No Forward Guidance

Kevin Warsh now runs the Federal Reserve, and he has changed how the institution communicates. The June policy statement ran about 130 words, down from more than 300 in recent years, and Warsh has repeatedly declined to signal what comes next. He testified before Congress in mid July and gave little away.

The benchmark rate sits at 3.50% to 3.75% and has been unchanged for five straight meetings. The June dot plot showed nine of eighteen policymakers expecting at least one hike this year, a position nobody held three months earlier, and the median 2026 inflation forecast was raised to 3.6%. Responding to the soft June CPI print, Warsh pushed back on any victory lap, saying that some might read the data as mission accomplished and that this is not his view.

The July meeting runs July 28 and 29. Market pricing has hovered around a two thirds to seventy percent probability of no change, with the remainder betting on a quarter point hike, and those odds moved up as oil climbed. Several strategists expect hawkish dissents even if the committee holds.

Fed watch: the direction of risk has genuinely inverted. A year ago the debate was how many cuts. Now the debate is whether the next move is a hike, and the answer depends heavily on whether energy prices bleed into the broader basket.

📊 Earnings Scorecard: Banks Strong, Tech Punished

The unofficial start of earnings season went well for financials and badly for technology.

America's largest banks broadly beat expectations in mid July and posted record trading revenues, which is what you would expect in a quarter this volatile.

Alphabet, revenue and cloud both beat, stock fell 7% on capex and negative free cash flow.

Tesla, record revenue, large earnings miss, stock fell roughly 19% on the week.

Intel, big beat on revenue and earnings, stock fell 8% on raised capital spending.

Netflix, revenue miss and cautious guidance, stock hit a two year low.

Lockheed Martin, earnings beat by 10%, raised full year guidance, record backlog around $230 billion, shares rose more than 5%.

Booz Allen Hamilton, adjusted earnings of $1.81 against a $1.48 consensus, shares jumped 12%.

Sector trends: defense and financials are working. Anything with a rising capex line is not, regardless of how good the quarter was.

⚡ Quick Hits: Ripples Worth Tracking

Initial jobless claims fell 22,000 to 187,000 for the week ending July 18, which is a genuinely strong labor reading.

Retail sales rose 0.2% in June, down from a revised 1.0% in May and in line with forecasts.

RAM prices have risen roughly sixfold, from about $2.80 per gigabyte in 2025 to around $12 in 2026, as suppliers redirect capacity toward high bandwidth memory for AI data centers. Consumer hardware prices are already moving in response.

Anthropic released Claude Opus 5 on July 27, and Chinese open weight models continue gaining traction with United States developers.

Meta is expanding its Louisiana data center to 5 gigawatts with planned investment above $50 billion.

Bitcoin sits around $65,000 with a market capitalization near $1.33 trillion, pressured more by rate expectations and exchange traded fund outflows than by anything crypto specific.

🧩 Finance Riddle

What can beat every estimate on the page and still lose you seven percent in a day?

Answer: a technology company raising its capital spending guidance. When investors shift from rewarding growth to demanding returns, the spending line becomes the headline and the earnings beat becomes a footnote.

📈 Companies to Watch: Recent and Upcoming Earnings

Alphabet (GOOGL), reported, capex guidance now $195 billion to $205 billion.

Tesla (TSLA), reported, margin compression and a heavy investment cycle ahead.

Intel (INTC), reported, strong execution paired with rising spending.

Microsoft (MSFT), Meta (META), Amazon (AMZN), Apple (AAPL), and Qualcomm (QCOM) all report this week, which will decide whether the capex backlash continues.

Also on deck this week, the Federal Open Market Committee decision on July 29, the Employment Cost Index, and Chicago PMI.